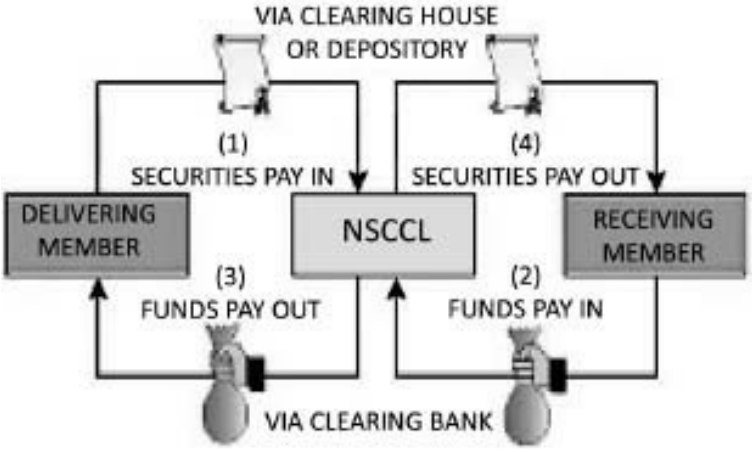


Securities paid by the delivering member to the clearing house/Depository on morning of T + 2

Funds are paid-in to the clearing bank by the Receiving Member on morning of T+2.

The pay-out for both funds and securities takes place in evening of T+2.

Source: http://otcei.net/clearing/

Rolling Settlement

In the above explanation to the diagram, T+2 represents Rolling settlement. Rolling settlement indicates that the trade executed in securities market is settled in few subsequent working days. 'T' stands for trade day, the day on which buyers and sellers agree to buy and sell. The number 2 represents two working days after the trade day in which settlement, that is delivery of securities and funds, takes place which is called settlement day.

Online Trading

The trading of shares is now made online. The online trading platform of Bombay is BOLT (BSE Online Trading) and of NSE is NEAT (National Exchange Automated Trading).